

1 ENGROSSED HOUSE
2 BILL NO. 4040

By: Caldwell (Trey) and Kane of
the House

3 and

4 Hall and Haste of the
5 Senate

6
7 An Act relating to the State Department of Health;
8 creating the Oklahoma Rural Health Transformation
9 Program; stating purpose; designating the State
10 Department of Health as lead agency; allowing for the
11 Department to partner with other agencies; creating
12 reporting requirements; creating the Oklahoma Rural
13 Health Transformation Revolving Fund; establishing
14 fund at the State Department of Health; deeming the
15 funds appropriated; providing expenditure and
16 budgeting requirements and limitations; requiring a
17 minimum balance in the fund at the end of the
18 project; allowing for use of memoranda of
19 understanding; limiting scope of such memoranda;
20 providing for codification; and declaring an
21 emergency.

22 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

23 SECTION 1. NEW LAW A new section of law to be codified
24 in the Oklahoma Statutes as Section 3321 of Title 63, unless there
is created a duplication in numbering, reads as follows:

This act shall be known and may be cited as the "Oklahoma Rural
Health Transformation (ORHT) Program".

SECTION 2. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 3321.1 of Title 63, unless there
is created a duplication in numbering, reads as follows:

1 The purpose of this act is to ensure the oversight of federal
2 funds received by the State Department of Health, and other partner
3 agencies, through the Rural Health Transformation (RHT) Program,
4 created in Public Law No. 119-21.

5 SECTION 3. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 3321.2 of Title 63, unless there
7 is created a duplication in numbering, reads as follows:

8 A. The State Department of Health shall act as the lead agency
9 for Oklahoma in administering the Rural Health Transformation (RHT)
10 Program. The Department shall interface with the federal government
11 on behalf of the State of Oklahoma, and other state agencies, in the
12 disbursement of funds, and reporting requirements to the federal
13 government.

14 B. As the lead agency, the State Department of Health shall
15 provide a yearly report on the progress of the expenditures,
16 programs, and outcomes that were listed in the application to the
17 Centers for Medicare and Medicaid Services (CMS), as well as any
18 changes that have been adopted, along with the reasons for such
19 changes. Said report shall be submitted annually, no later than
20 January 31 throughout the life of the program. Such reports shall
21 be submitted to the Governor, the Speaker of the Oklahoma House of
22 Representatives, the President Pro Tempore of the Oklahoma State
23 Senate, the Appropriations and Budget Chair of the Oklahoma House of
24 Representatives, the Appropriations Chair of the Oklahoma State

1 Senate, and the relevant subcommittee chairs for each chamber.
2 Additionally, the Department shall publish such reports on its
3 website.

4 C. No less than quarterly, the Department shall publish on its
5 website progress reports for all projects, including the expenditure
6 of funds for each project as of the latest completed calendar
7 quarter.

8 SECTION 4. NEW LAW A new section of law to be codified
9 in the Oklahoma Statutes as Section 3321.3 of Title 63, unless there
10 is created a duplication in numbering, reads as follows:

11 A. There is hereby created in the State Treasury a revolving
12 fund for the State Department of Health to be designated the
13 "Oklahoma Rural Health Transformation Revolving Fund (ORHT Revolving
14 Fund)". The fund shall be a continuing fund, not subject to fiscal
15 year limitations, and shall consist of all monies appropriated to
16 the State Department of Health for the benefit of cash-flowing the
17 Rural Health Transformation (RHT) Program overseen by the Centers
18 for Medicare and Medicaid Services (CMS). All monies accruing to
19 the credit of said fund are hereby appropriated and may be budgeted
20 and expended by the State Department of Health for the purpose of
21 funding programs and projects approved by CMS for the RHT Program.
22 Expenditures from said fund shall be made upon warrants issued by
23 the State Treasurer against claims filed as prescribed by law with
24

1 the Director of the Office of Management and Enterprise Services for
2 approval and payment.

3 B. The State Department of Health may enter into memoranda of
4 understanding with partner agencies for the expenditure of funds
5 from the ORHT Revolving Fund. Such expenditures are limited to
6 those necessary to complete projects and programs under the RHT
7 Program.

8 C. At the end of the Rural Health Transformation (RHT) Program,
9 there shall remain a balance in the fund equal to the amount
10 transferred in Section 74 of Enrolled Senate Bill No. 1177 of the
11 2nd Session of the 60th Oklahoma Legislature.

12 SECTION 5. It being immediately necessary for the preservation
13 of the public peace, health or safety, an emergency is hereby
14 declared to exist, by reason whereof this act shall take effect and
15 be in full force from and after its passage and approval.

16 Passed the House of Representatives the 14th day of April, 2026.

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18 _____
19 Presiding Officer of the House
20 of Representatives

21 Passed the Senate the ____ day of _____, 2026.

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23 _____
24 Presiding Officer of the Senate